

million chunk of equity in the parent of Northwest Airlines, by far the biggest equity investment in the company's \$475 million pool of equity investment."

Here was an onion of oddity. Layer number one: Someone proposed to recapitalize an airline. Layer number two: That someone found a partner in a commercial bank. Layer number three: This commercial bank, impersonating Henry Kravis, resolved to become an equity player.

The Northwest story created no more shock than the Duff & Phelps story did. What was so striking about the *Journal* item was what was left unsaid.

A telltale sign of a mania is that people and institutions readily do things they wouldn't do — in fact, wouldn't be caught dead doing — in ordinary times.

A decade ago, Forstmann Little & Co. and Kohlberg Kravis Roberts & Co. had some conservative ideas about which companies might, and which might not, be appropriately leveraged. The ideal LBPO candidate was one that produced steady and predictable cash flow. It was insulated from the business cycle. It was unregulated and unburdened by heavy capital spending requirements. It preferably had nothing to do with labor unions. In just about every detail, in fact, it was the polar opposite of NWA.

A telltale sign of a mania is that people and institutions readily do things they wouldn't do—in fact, wouldn't be caught dead doing—in ordinary times. Do you remember the picture of the late Sewell Avery being carried out of his office in 1944, sedan-chair style, for disobeying a government order? This was the same Avery who led U.S. Gypsum Co., a producer of wallboard and other building materials, from 1905 to 1951, and was chairman of Montgomery Ward & Co. Avery's regime spanned thick and thin, and he